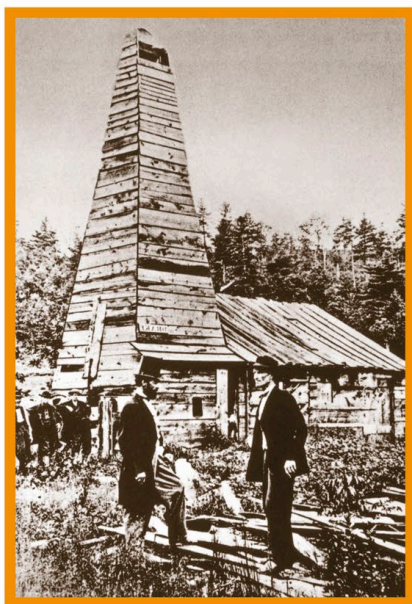


See also: The *Lex Mercatoria* 74–77 ■ *Hadley v. Baxendale* 148–149 ■ *Salomon v. Salomon & Co. Ltd.* 178–179 ■ The Federal Trade Commission 184–185



America's first commercial oil well was built in Pennsylvania in 1859 and saw the start of an oil boom in the country. At the boom's peak, the city was producing a third of the world's oil.

was formed in 1882, when a number of oil refiners across the country combined to form the Standard Oil trust. This allowed the company to control the price and supply of oil while, at the same time, dodging corporate regulations and state-level taxes. The rise of trusts stifled competition and was seen as a bad deal for ordinary consumers.

Federal legislation

As the number of American trusts grew in the 1880s, legislators began to see a need to control the situation and to break up monopolies. (A monopoly is a market's sole supplier of a specific product.) Several state-wide antitrust laws were passed, but long-distance communications opened up by the telegraph and rail travel made it easier for large

trusts to work across a number of states. Nationwide, federal laws were now required. From 1888, Senator John Sherman of Ohio began working on a federal antitrust law that could curb the power of trusts to control the market. The bill went through a number of iterations and revisions, and when it was passed in 1890, it retained very little of Sherman's original wording but was still named in his honor.

Banning monopolies

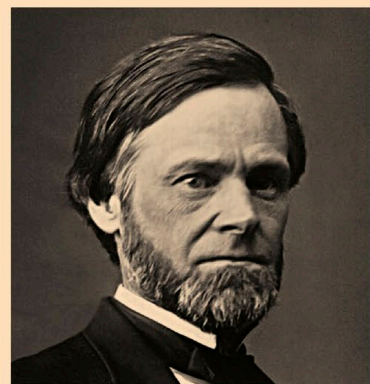
The Sherman Antitrust Act was the first federal bill to make anti-competitive acts illegal, and it forms one of the most important statutes in US competition law. It ensured that combinations (two or more businesses working together) or trusts that restrained trade between states or foreign nations were outlawed. The Act included provisions against price fixing, the rigging of bids, or the exclusion of competition, and outlawed the creation of monopolies. »



If we will not endure a king as a political power, we should not endure a king over the production, transportation, and sale of any of the necessities of life.

John Sherman

Speech to US Congress, 1890



John Sherman

Born in 1823, John Sherman served in both the House of Representatives and the Senate and held the positions of secretary of the treasury and secretary of state. Known as the "Ohio icicle" due to his cold demeanor, Sherman was keenly interested in financial matters, and as a senator he helped redesign the US monetary system after it was ravaged by the effects of the Civil War (1861–1865).

In 1884 and 1888, Sherman tried for the Republican presidential nomination but failed to garner sufficient support. It was said that Sherman's dislike of his rival for the presidential nomination Russell A. Alger in part inspired the creation of his antitrust legislation. Alger had a large interest in the Diamond Match Company, which, like Standard Oil, was especially hated by the public because it had a monopoly over a daily necessity: the match. Sherman saw the Antitrust Act as an opportunity to damage Alger. He died at his home in Washington, DC, in 1900.